

22STCV23458 22STCV23458

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Case Number: 22STCV23458 Hearing Date: August 12, 2026 Dept: 406

COSTTREE HOLDINGS, LLC,

Plaintiff,

v.

ECIVIS, INC., et al.,

Defendants.

AND RELATED MATTERS.

Case No.: 22STCV23458

Hearing Date: August 12, 2026

[TENTATIVE] order RE:

plaintiff costtree holdings, llc's motion to compel further responses (CRS# 5556)

I. BACKGROUND

a. The Underlying Complaint

On July 20, 2022, Plaintiff CostTree Holding, LLC (CostTree) filed this action against Defendants eCivis, Inc. (eCivis), GTY Technology Holdings, Inc. (GTY), and James Ha (Ha). On March 15, 2024, Plaintiffs CostTree and Capital Accounting Partners, LLC (CAP) filed the operative Second Amended Complaint (SAC), alleging (1) breach of the covenant of good faith and fair dealing, (2) fraud, (3) negligent misrepresentation, (4) civil conspiracy, (5) breach of contract, and (6) intentional interference with contractual relations.

The SAC alleges that CostTree agreed to sell its assets to eCivis through an Asset Purchase Agreement (APA) with eCivis. One of these assets was a certain program developed by CostTree, called Allocate. In exchange for the sale, the APA provided that CostTree would make earn-out payments from Allocate until a certain date and that eCivis would assume certain liabilities of CostTree, including a License Agreement with CAP. eCivis has allegedly failed to adequately promote sales or renewals of Allocate and has not assumed any of CostTree's liabilities.

eCivis allegedly acted to minimize CostTree's earn-out payments from Allocate until CostTree's right to earn-out payments expired under the APA. Meanwhile, Ha, the CEO of eCivis, sought to maximize his own earn-out payments from eCivis's programs under an agreement with GTY, which acquired eCivis and its programs. Despite increased resources from the GTY acquisition to market eCivis's programs, eCivis allegedly refused to market or sell Allocate until CostTree's right to earn-out payments expired. This allegedly allowed eCivis to effectively acquire CostTree's assets for little to no consideration. Defendants allegedly concocted this scheme to remove a competitor from the market and maximize their own profits.

Defendants also allegedly terminated the Licensing Agreement with CAP without following the procedures for termination outlined in the Licensing Agreement. Defendants allegedly cut off CAP's access to Allocate, preventing CAP from servicing its clientele for nearly a month. Defendants allegedly did this as retaliation for CostTree filing this action, as Nicolie Wickwire (Wickwire) is the CEO of both CostTree and CAP.

Ha has since been dismissed.

b. Wickwire's Related Action

On October 6, 2023, Wickwire filed the action Nicolie Wickwire v. eCivis, Inc., et al. (23CMCV01613), alleging (1) breach of the covenant of good faith and fair dealing, (2) constructive discharge in violation of public policy, (3) defamation, and (4) declaratory relief. The Wickwire action was consolidated with this action, with this action as the lead case. However, Wickwire subsequently dismissed her complaint with prejudice.

c. The Cross-Complaint

On April 29, 2024, eCivis and GTY (dba Euna Solutions) cross-complained against CostTree, CAP, Wickwire, and Stephanie Ratajczak (Ratajczak). eCivis and GTY filed the operative Third Amended Cross-Complaint (TACC) on September 15, 2025, alleging (1) conversion, (2) intentional interference with prospective economic advantage, (3) breach of employment agreement, (4) breach of the APA, (5) breach of the CAP Licensing Agreement, (6) fraud, and (7) civil conspiracy.

The TACC alleges that Allocate underperformed as compared to Wickwire's promises, despite assistance from eCivis and GTY. Upon Wickwire's job title change, she allegedly refused to sign the new employment agreement and directed her subordinate, Ratajczak, to not sign her agreement either. Ratajczak was allegedly working for CAP at the same time as working for eCivis. Wickwire, Ratajczak, and CAP allegedly sold Allocate services to third party customers who should have contracted with eCivis and GTY. Wickwire, Ratajczak, and CAP allegedly allowed third parties to access and use Allocate without a proper license and without paying fees to eCivis and GTY. These actions allegedly violated the APA, Licensing Agreement, and employment agreements.

When Wickwire and Ratajczak simultaneously resigned, they allegedly left eCivis and GTY without any knowledgeable employees to manage Allocate. Wickwire allegedly failed to train any other employees on Allocate as was her duty prior to resigning, leaving Allocate with little value and thereby damaging eCivis and GTY. Since their resignations, Wickwire and Ratajczak have allegedly continued to impermissibly access or grant unpermitted access to Allocate beyond the limited access permitted for customers of CAP.

d. The Instant Motion

On July 9, 2026, CostTree filed the instant motion to compel eCivis' further responses to Requests for Production, Set Four. eCivis filed an opposition on July 30, 2026. CostTree filed a reply on August 5, 2026.

II. LEGAL STANDARD

Upon receiving responses to its discovery requests, the propounding party may move for an order compelling further responses if the responses are incomplete or evasive, or objections are without merit or too general. (Code Civ. Proc., §§ 2030.300(a), 2031.310(a), 2033.290(a).)

III. DISCUSSION

a. Verification

CostTree argues that eCivis' responses are improperly verified on information and belief.

"It is common sense when discovery requests are propounded on a business, particularly a large business, no single person is likely to have personal knowledge of everything the business collectively knows." (Perry v. Kia Motors America, Inc. (2023) 91 Cal.App.5th 1088, 1097.) "Under such circumstances, 'information and belief' is the only realistic way to verify answers on behalf of the entity." (Ibid.) Thus, it is "entirely proper" for a corporate agent to "sign the verification based on information and belief." (Ibid.)

Therefore, the verification is proper.

b. Emails (RFP Nos. 121-136)

RFP Nos. 121-136 seek all communications sent to or from the eCivis email accounts of various individuals, with no limit as to time or subject matter. This is overbroad and not tailored to any issue being litigated.

The motion is DENIED as to RFP Nos. 121-136.

c. Ledgers, Income Statements, and Balance Sheets (RFP Nos. 137-163)

RFP Nos. 137-163 seek wholesale financial records for an 8-year period. This is overbroad and not tailored to any issue being litigated.

The motion is DENIED as to RFP Nos. 137-163.

d. Allocate Revenue (RFP Nos. 164-172)

RFP Nos. 164-172 seek documents reflecting the revenue eCivis received from Allocate between 2018 and 2026. This information is directly relevant to CostTree's right to earnout payments under the APA. eCivis responded, "Defendant will comply with this request and has already produced responsive documents in its possession, custody, or control." This is an incomplete statement of compliance. A statement of compliance must be made as follows:

A statement that the party to whom a demand for inspection, copying, testing, or sampling has been directed will comply with the particular demand shall state that the production, inspection, copying, testing, or sampling, and related activity demanded, will be allowed either in whole or in part, and that all documents or things in the demanded category that are in the possession, custody, or control of that party and to which no objection is being made will be included in the production.

(Code Civ. Proc., § 2031.220.)

The motion is GRANTED as to RFP Nos. 164-172.

e. CVs and Conference Records (RFP Nos. 173-176)

RFP Nos. 173-174 seek the CVs of the employees whom eCivis hired to work, or who worked, with Wickwire on Allocate. RFP Nos. 175-176 seek documents identifying the date, purpose, and attendees of each video conference or presentation for outside stakeholders to be conducted by Wickwire or another eCivis employee.

This information is relevant to the allegation that eCivis failed to properly develop and market Allocate, depriving CostTree of earnout payments. However, information on conferences or presentations are limited to those pertaining to Allocate. eCivis argues that the timeframe (2018-2026) is overbroad because CostTree's right to earnouts expired in 2023. However, the request is already limited in subject matter, i.e., employees who worked with Wickwire on Allocate and conferences/presentations on Allocate. Moreover, CostTree is entitled to discover whether eCivis put more effort into developing and marketing Allocate after CostTree's right to earnouts expired.

The motion is GRANTED as to RFP Nos. 173-176, subject to the above limitations.

f. Marketing Materials (RFP No. 177)

RFP No. 177 seeks all writings designed for current or prospective customers of eCivis advertising the Allocate software. Marketing materials are relevant to CostTree's allegation that eCivis failed to adequately promote Allocate, depriving CostTree of earnout payments. The timeframe (2018-2026) is reasonable, as CostTree is entitled to discover whether eCivis put more effort into developing and marketing Allocate after CostTree's right to earnouts expired.

The motion is GRANTED as to RFP No. 177.

g. Commissions (RFP Nos. 178-179)

RFP Nos. 178-179 seek documents reflecting the commissions eCivis paid to employees since 2018 for selling the Allocate software or services reliant on Allocate. Commission information is relevant to the marketing and sale of Allocate. The timeframe (2018-2026) is reasonable, as CostTree is entitled to discover whether eCivis put more effort into developing and marketing Allocate after CostTree's right to earnouts expired.

The motion is GRANTED as to RFP Nos. 178-179.

h. Access Log (RFP No. 180)

RFP No. 180 seeks documents identifying the date and time when eCivis' customer information was accessed or manipulated in the Allocate software after 2018, as well as identifying information on the user. This wholesale request for access logs for an 8-year period is overbroad and not tailored to the allegation that Wickwire and Ratajczak improperly accessed Allocate.

The motion is DENIED as to RFP No. 180.

IV. CONCLUSION

Plaintiff CostTree's motion to compel further responses is GRANTED in part as set forth above. Defendant eCivis shall provide further responses to RFP, Set Four within 20 days of today. Sanctions are denied as the parties acted with substantial justification.

COSTTREE HOLDINGS, LLC,

Plaintiff,

v.

ECIVIS, INC., et al.,

Defendants.

AND RELATED MATTERS.

Case No.: 22STCV23458

Hearing Date: August 12, 2026

[TENTATIVE]

order RE:

cross-defendant capital accounting

partners, llc's motion to compel further responses (CRS# 3390)

I. BACKGROUND

a. The Underlying Complaint

On July 20, 2022, Plaintiff CostTree

Holding, LLC (CostTree) filed this action against Defendants eCivis, Inc.

(eCivis), GTY Technology Holdings, Inc. (GTY), and James Ha (Ha). On March 15,

2024, Plaintiffs CostTree and Capital Accounting Partners, LLC (CAP) filed the

operative Second Amended Complaint (SAC), alleging (1) breach of the covenant

of good faith and fair dealing, (2) fraud, (3) negligent misrepresentation, (4)

civil conspiracy, (5) breach of contract, and (6) intentional interference with

contractual relations.

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to sell its assets to eCivis through an Asset Purchase Agreement (APA) with

eCivis. One of these assets was a certain program developed by CostTree, called

Allocate. In exchange for the sale, the APA provided that CostTree would make

earn-out payments from Allocate until a certain date and that eCivis would

assume certain liabilities of CostTree, including a License Agreement with CAP.

eCivis has allegedly failed to adequately promote sales or renewals of Allocate

and has not assumed any of CostTree's liabilities.

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earn-out payments from Allocate until CostTree's right to earn-out payments

expired under the APA. Meanwhile, Ha, the CEO of eCivis, sought to maximize his

own earn-out payments from eCivis's programs under an agreement with GTY, which

acquired eCivis and its programs. Despite increased resources from the GTY acquisition to market eCivis's programs, eCivis allegedly refused to market or sell Allocate until CostTree's right to earn-out payments expired. This allegedly allowed eCivis to effectively acquire CostTree's assets for little to no consideration. Defendants allegedly concocted this scheme to remove a competitor from the market and maximize their own profits.

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(dba Euna Solutions) cross-complained against CostTree, CAP, Wickwire, and

Stephanie Ratajczak (Ratajczak). eCivis and GTY filed the operative Third

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Agreement, (6) fraud, and (7) civil conspiracy.

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underperformed as compared to Wickwire's promises, despite assistance from

eCivis and GTY. Upon Wickwire's job title change, she allegedly refused to sign

the new employment agreement and directed her subordinate, Ratajczak, to not

sign her agreement either. Ratajczak was allegedly working for CAP at the same

time as working for eCivis. Wickwire, Ratajczak, and CAP allegedly sold

Allocate services to third party customers who should have contracted with

eCivis and GTY. Wickwire, Ratajczak, and CAP allegedly allowed third parties to

access and use Allocate without a proper license and without paying fees to eCivis

and GTY. These actions allegedly violated the APA, Licensing Agreement, and

employment agreements.

When Wickwire and Ratajczak simultaneously resigned, they allegedly left eCivis and GTY without any knowledgeable employees to manage Allocate. Wickwire allegedly failed to train any other employees on Allocate as was her duty prior to resigning, leaving Allocate with little value and thereby damaging eCivis and GTY. Since their resignations, Wickwire and Ratajczak have allegedly continued to impermissibly access or grant unpermitted access to Allocate beyond the limited access permitted for customers of CAP.

d. The Instant Motion

On July 8, 2026, CAP filed the instant motion to compel eCivis' further responses to Requests for Production, Set One. eCivis filed an opposition on July 30, 2026. CAP filed a reply on August 5, 2026.

II.

LEGAL STANDARD

Upon receiving responses to its discovery requests, the propounding party may move for an order compelling further responses if the responses are incomplete or evasive, or objections are without merit or too general. (Code Civ. Proc., §§ 2030.300(a), 2031.310(a), 2033.290(a).)

III. DISCUSSION

a. Verification

CAP argues that eCivis' responses

are improperly verified on information and belief.

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requests are propounded on a business, particularly a large business, no single

person is likely to have personal knowledge of everything the business

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Cal.App.5th 1088, 1097.) "Under such circumstances, 'information and belief' is

the only realistic way to verify answers on behalf of the entity." (Ibid.)

Thus, it is "entirely proper" for a corporate agent to "sign the verification

based on information and belief." (Ibid.)

Therefore, the verification is proper.

b. Statement of Compliance/Inability to

Comply

CAP has good cause for the RFPs because

they seek documents supporting the allegations in eCivis' cross-complaint.

eCivis is entitled to preserve objections while providing a substantive

response. However, its response must be code-compliant. Specifically, a

statement of compliance or inability to comply must be made as follows:

A statement that

the party to whom a demand for inspection, copying, testing, or sampling has been directed will comply with the particular demand shall state that the production, inspection, copying, testing, or sampling, and related activity demanded, will be allowed either in whole or in part, and that all documents or things in the demanded category that are in the possession, custody, or control of that party and to which no objection is being made will be included in the production.

(Code

Civ. Proc., § 2031.220.)

A representation

of inability to comply with the particular demand for inspection, copying, testing, or sampling shall affirm that a diligent search and a reasonable inquiry has been made in an effort to comply with that demand. This statement shall also specify whether the inability to comply is because the particular item or category has never existed, has been destroyed, has been lost, misplaced, or stolen, or has never been, or is no longer, in the possession, custody, or control of the responding party. The statement shall set forth the name and address of any natural person or organization known or believed by that party to have possession, custody, or control of that item or category of

item.

(Code

Civ. Proc., § 2031.230.)

eCivis' responses do not meet this

standard. The statement of compliance does not state whether the production

will be allowed in whole or in part and does not verify that all documents not

subject to an objection will be produced. The statement of inability to comply

fails to confirm that a reasonable inquiry was made, explain the reason for

noncompliance (lost, misplaced, destroyed, etc.), or identify the individual or

organization believed to be in possession. Therefore, further responses are

warranted.

c. Objections

In its opposition, eCivis focuses on four

objections to defend its responses. (Opp. at 7:20-8:28.) For the reasons

discussed below, these objections do not preclude production.

First, eCivis argues that the requests are

overbroad as to time, going beyond 2023. However, each request at issue is tied

to a specific allegation in the cross-complaint. This naturally limits the

scope of the request. For example, if a document demonstrates CAP's

interference with eCivis' customers as alleged in the cross-complaint, it is

responsive and discoverable even if it is dated after 2023.

Second, eCivis argues that the demands are

not limited to Allocate and instead sweep all of eCivis' activities. Again, the

requests are tied to specific allegations in the cross-complaint. They do not

sweep all of eCivis' activities; only what is alleged.

Third, eCivis argues that the demand's use

of "profit losses" is vague. However, the requests refer to profit losses "as

alleged in paragraph 38 of the TACC." Paragraph 38 alleges that CAP's actions

interfered with eCivis' "ability to profit from the Allocate Program." (TACC ¶

38.) The TACC also alleges lost profits throughout. (Id., ¶¶ 59, 66,

71.) CAP is entitled to demand that eCivis produce documents supporting its own

claim of lost profits.

Fourth, eCivis argues that its financial

records are publicly available. However, CAP is entitled to discover the

documents that eCivis contends supports its claims. This is not publicly

available information.

Lastly, eCivis argues that the requests

improperly demand an expert damages calculation. eCivis fails to identify any

RFP that asks for a damages calculation. Each RFP asks for existing documents.

To the extent documents do not exist, eCivis must provide a proper statement of

inability to comply as set forth above.

IV. CONCLUSION

Cross-Defendant CAP's motion to

compel further responses is GRANTED. Cross-Complainant eCivis shall provide

further responses to RFP, Set One within 20 days of today. Sanctions are denied

as the parties acted with substantial justification.